

could make an outright purchase of a used one. In the later case, he could actually own the vehicle and not have to make payments on it! For a car, \$1.00 a day seemed a small sacrifice to Curtis. If he could save even more, \$5.00 a day, he would have \$23,600 in ten year’s time.

Since Curtis was eighteen years old, his teacher asked him how many twenty-eight- year-olds he knew who owned their own home. Curtis answered, “None.” Did Curtis want to own a home one day? “Yes,” he replied. Mr. Richards explained he could do it by saving only \$5.00 a day. The \$23,600 he will have saved over ten years would be a substantial down payment. In fact, Mr. Richards went on to explain that if Curtis stopped smoking and put the \$5.00 a day he spent on smoking into a savings account, he would have his down payment for his home and most certainly improve his health in the process.

Curtis’ teacher wondered if his lesson on the value of saving had had any impact. The concept of delayed gratification had to compete with both peer and advertising pressure to spend money. One day he saw Curtis with a group of friends who were all smoking—except for Curtis. When Mr. Richards asked him the next day if he had quit, Curtis answered that it was easy to quit. Every time he had the urge to buy a pack of cigarettes, he would take the picture of his dream house out of his wallet. The urge to smoke would go away.

By instilling the saving habit early in life, even the goal of becoming a millionaire by the age of sixty-five can be reached. By starting at the age of twenty and saving \$95 per month, you can end up with a million dollars by the age of sixty-five, assuming a 10 percent return on the money (tax deferred). This is also assuming that none of the money will be withdrawn during the waiting period.

This goal also can be reached if you wait until you are older to start saving, but the amount you must contribute monthly

